

BRAVADO SPICE CO.

Investor Update - State of Bravado

August 24, 2026 · Prepared August 21, 2026 · Data reconciled daily to Found Bank

1. July 22 Plan vs. Actual (Jul 22 – Aug 20)

Line	Plan (Jul 22)	Actual	Variance
Beginning cash (Jul 21 close)	\$1,325	\$3,597	+\$2,272
Cash receipts - operating	\$44,900	\$18,664	-\$26,236
Cash receipts - new loan (Anthony)	\$0	\$10,000	+\$10,000
Operating disbursements	\$25,372	\$26,181	+\$809
Debt/creditor payments	\$13,416	\$4,706	-\$8,710
Ending cash (Aug 20)	\$7,436	\$1,374	-\$6,062

The receipts variance is due to the migration of production from SBG to John Henry's. The production proposal to SBG was not accepted; management pivoted to JH, which pushed the Faire and KeHE order shipments out.

Actual receipts by channel (Jul 22 – Aug 20)

Channel	Actual		
Faire (wholesale marketplace)	\$7,836		
KeHE (distributor)	\$4,737		
Amazon FBA	\$2,678		
DTC (Shopify)	\$2,151		
Wholesale direct (JJ, Airgoods)	\$950		
Events cash	\$312		
Total operating receipts	\$18,664		

Status of major expected receipts

- KeHE PO 3773648: PAID \$4,736.72.
- KeHE PO 3802230: shipped Aug 14; payout est. \$8,930.67 expected by Sep 3.
- KeHE PO 3846625: pickup Aug 27; payout est. \$10,389.43 expected by Sep 11.
- JH past-due invoice (\$1,555.76) PAID Jul 29 - opening local production.
- Jungle Jim's PO 1157266 PAID \$1,542.47 Aug 12; JJ Fairfield PO 1169741 ships Aug 25 (net-10).

2. Variance & Updated Outlook

Major differences from plan - timing vs. missed

- TIMING (the -\$26.2K receipts variance): Due to the SBG → JH migration after SBG declined the proposal. Faire orders and KeHE POs shipped later than the July plan states. Confirmed in transit: KeHE 3802230 (shipped Aug 14, pays ~Sep 3) and 3846625 (pickup Sep 4, pays ~Sep 18), plus Faire orders that have already begun paying out.

- DEFERRED (not missed): SBG payments planned Aug (\$14,389) were renegotiated into a structured payoff (see Section 4). Debt outflow was \$8,710 lighter in the window as a result.
- NEW BORROWING: \$10,000 family loan (Anthony, Jul 28) was raised to facilitate the production migration from SBG to John Henry's.

Revised forecasts

Forecast point	July 22 plan	Revised (Aug 21)	Change
Aug 31 ending cash	\$13,378	\$6,505	-\$6,873
Dec 31 ending cash	\$30,692	\$40,018	+\$9,326

Remaining-year revenue: confirmed vs. probable vs. forecast

Class	Amount	Basis	
Confirmed (shipped/picked up)	\$19,320	KeHE 3802230 + 3846625 in transit to payment	
Probable	\$11,000	Hot Shots order (historical \$10–12K, ships late Sep)	
Forecast - KeHE cadence	\$36,000	3 POs at \$12K (Sep/Oct/Nov) per current velocity	
Forecast - channels	~\$150,000	DTC/Amazon/Faire/wholesale dailies incl. Q4 seasonality	
Forecast - new products	\$27,374	Holiday sauce + cocoa + JGS relaunch (launch Sep 23)	

3. Operations & Production

Production source status

- Hot sauce production fully migrated to John Henry's Food Products (Houston).
- JH advantages: lower COGS, no inbound freight, smaller MOQs - more flexible production while cash is tight.
- SBG remains a partner, and the relationship is good.
- Terms: 50% deposit / 50% at pickup, each payment scheduled against a specific funding inflow.
- PO32-PO34 executed to date: ~12,160 units, \$20,653. Seven more scheduled through Dec, plus a January PO with deposit paid in December.
- Next In-house line launches Sep 23: Jalapeño & Garlic Seasoning, Holiday Hot Sauce, and Holiday Hot Cocoa Mix. Chamoy ends by Oct 31st or when the last bottle sells.

Supplier / vendor issues

- JH yield miss shorted the KeHE 3802230 order by 86 cases of Creamy Herb (~\$2,181 revenue impact). Additional KeHE PO expected. Yield has been updated. KeHE contacted, and a new PO is incoming. The remaining 86 cases are being produced Monday, Aug 24.

Inventory & Q4 working capital

- Inventory audit (Aug 11): 1,419 sauce units on hand - the constraint on Q3 sales. Production expansion sized against a full unit-flow model: Q4 sales plan requires ~48,000 units; PO schedule + in-house runs deliver it with ~2,750 units carrying into January plus a 5,500-unit January PO.
- Q4 working capital is fully scheduled in the daily cash plan: every PO deposit/balance is tied to a named funding inflow. The plan currently shows zero projected negative-balance days through Dec 31.

Ability to support projected Q4 sales

- Yes, with stated risk: the sales plan is deliverable if the 3 forecast KeHE POs materialize and holiday sell-through tracks the Mango-Chamoy limited-batch precedent (396 units in launch month, sold out in month 2). Stock, not demand, has been the binding constraint.

4. Debt & Financial Position

Current debt schedule (Aug 21)

Creditor	Balance	Arrangement	Status
SBA loan (HAP)	\$350,000	Hardship plan; full \$1,705/mo resumes Dec	Current
Endorphin Farms (legacy)	\$89,298	\$500/mo from Sept (confirmed)	Scheduled
Nguyen (family)	\$88,767	Deferral to 2027 requested	Deferred
SBG (Bill Sr.)	\$24,306	5 pmts: \$5K Oct 6/Oct 23/Nov 20/Dec 18 + \$4,306 Jan 15	Scheduled
Amex	~\$14,000	\$331/mo minimum	Current
OnDeck	~\$13,150	\$175/week (new deal Aug 11)	Current
Anthony (family, new Jul 28)	\$10,000	\$2.5K Oct 9/Nov 12/Dec 9/Dec 21 - done in 2026	Scheduled
Blake Benthall	\$7,500	Deferral to 2027 requested	Deferred
Berlin Packaging	\$900	Past due	Scheduled
Uline (collections)	\$344	2 biweekly pmts remain	Current
Past-due rent (in catch-up)	\$16,475	\$750/mo rider, \$3,000 cleared in 2026; \$13,475 balance in three payments Jan/Feb/Mar 2027	Scheduled
Unishippers (DISPUTED)	\$14,174	Documented amount, in dispute	In dispute

- **Total debt \$572,715, excluding trade A/P, past-due rent, and the disputed freight claim (all shown separately). Trade A/P is carried separately at \$29,919, of which JH is \$3,553 (PO32 balance after the 50% deposit). PO33 and PO34 are scheduled commitments, not yet invoiced.**

Past-due obligations

- Past-due rent \$16,475 in active \$750/mo catch-up; \$3,000 clears inside 2026, and the \$13,475 balance is paid in three payments scheduled Jan, Feb, and Mar 2027.
- Uline in final installments.
- Berlin Packaging past due and scheduled.

New borrowing since last update

- Anthony (family) \$10,000 on Jul 28 - raised to facilitate the SBG → John Henry's production migration. Repaying \$10,000 by Dec 21. No institutional borrowing added. OnDeck restructured to \$175/week.

Overall position

- **IMPROVING.** Every creditor is now on a written, scheduled arrangement tied to specific funding days; the cash plan runs 130+ consecutive projected-positive days; production capacity migrated to a faster, more flexible co-packer; one family loan retires fully within 2026; and year-end cash is forecast above the July plan despite absorbing the SBG payoff schedule.

5. Management Priorities (through year-end)

- **1. Execute Q4 stock plan - keep JH PO cadence on time and in full; it feeds every other number.**
- 2. Launch and scale the Sep 23 holiday line (Holiday Sauce, Cocoa, JGS relaunch) - highest-margin revenue in the company (70%+).
- 3. Convert KeHE placeholders into confirmed POs (Sep/Oct/Nov at ~\$12K each) and hold the 10–15 day payment cycle.
- 4. Retire SBG and Anthony on schedule - \$34.3K of debt cleared by mid-January without breaking a single payroll.
- 5. Put Chamoy on World Market, Central Market, and Whole Foods radar for 2027 category review.

Key risks

- KeHE forecast POs (3 × \$12K) are velocity-based, not yet confirmed - based on last year's sales volume and this year's cadence.
- Single co-packer concentration at JH (mitigated by in-house line and prebuilt inventory buffers).
- Thin absolute cash levels through September (~\$1.4K today); plan holds but has limited shock absorption until mid-Sep KeHE receipts land.

Key opportunities

- Holiday limited-batch economics (73% margin cocoa, 84% margin sauce at retail) with proven limited-drop demand.
- JGS relaunch at 71% in-house margin, loyal customer base and good DTC success rate.

6. Investor Reporting & Support

Proposed cadence: quarterly reporting, twice-yearly meetings

- A healthy cash cycle runs 45-90 days from production to payout, and demand is seasonal. A single KeHE payout landing a week later moves a monthly number without anything in the business having changed, and any one month is either a peak or a trough rather than a trend. Monthly reporting on this cycle produces noise; quarterly reporting produces signal.
- A quarter is also the unit management operates in: one production cycle, one selling season, one full receivables turn. Q3 closes Sep 30, Q4 closes Dec 31 - both land where a real decision gets made.
- Proposal: a reporting pack within 30 days after each quarter close, and a live State of Bravado meeting twice a year - Jan 2027 and Aug 2027.
- The cash plan is maintained continuously and reconciled with the bank; feel free to request the current file or call anytime.

Quarterly reporting pack (format: Original Forecast | Revised Forecast | Actual)

Metric	Original (Jul 22)	Revised (Aug 21)	Actual (thru Aug 20)
Revenue (operating receipts, Aug)	\$48,407	\$29,394	\$13,616 (thru Aug 20)
Financing inflows (Jul 22 - Aug 20)	\$0 planned	\$10,000 (Anthony, Jul 28)	\$10,000 received
Operating expenses (Aug, incl. COGS)	\$15,849	\$23,416	\$14,107 (thru Aug 20)
Debt payments (Aug)	\$17,396	\$2,663	\$1,325 (thru Aug 20)

Ending cash (Aug 31)	\$13,378	\$6,505	\$1,374 (Aug 20)
Blended gross margin	61.4% (SBG cost basis)	67.7% (JH costs + in-house SKUs)	56.5% (SBG stock sold through)
Trade A/P + past-due rent (excl. Endorphin)	\$50,608 (\$29,926 current + \$4,207 past due + \$16,475 rent)	\$17,781 at Dec 31 (\$4,306 current + \$13,475 rent after four \$750 payments)	\$46,393 at Aug 20 (\$27,858 current + \$2,060 past due + \$16,475 rent)
Total debt (excl. trade A/P)	\$563,065	\$572,715	\$572,715 (Aug 21)
Confirmed KeHE POs	\$17,747 (3773648 \$8,389 + 3802230 \$9,358)	\$19,320 open (3802230 \$8,931 + 3846625 \$10,389)	\$19,320 open (3773648 \$4,737 already collected)
Year-end cash forecast	\$30,692	\$40,018	-

How investors can help

- If we can request the resumption of payments on investor loans in March 2027.
- Spread the word about our unique limited-edition items as they launch; I'll have sneak-peek samples mailed to each of you once the formula is locked. Please provide good mailing addresses.